Gaming (RMG), which contributes 86 per cent of industry revenue. Millions are staking money on outcomes every day on these online platforms—it isn't just about games anymore, they are now entire economic ecosystems unto themselves. Digital ludo, for instance, matches users, often with similar skill or stake levels, and lets them compete for the pooled-in entry fees. Similarly, fantasy cricket—think Dream 11, My11Circle et al—involves creating virtual teams of real players; users earn points and money based on actual match performances (see *Major Online Players*).

The surge in RMG has not only fuelled widespread addiction, pushing many users into a debt trap, but also opened the door to more insidious threats: money laundering, cyber fraud and even terror financing. As this booming industry spirals beyond control, the government is beginning to take serious note. While several regulatory measures have been rolled out over the past few years, top officials in the Union ministry of home affairs (MHA) say the Indian Cyber Crime Coordination Centre (I4C) is now preparing a report recommending a new central law. The proposed legislation could bring the entire spectrum of online gaming, gambling, betting and lotteries under one federal framework—with provisions for steep fines and prison terms of up to three years for violations.

The Skill-Chance Mirage

The legal framework for gambling in India remains anchored in the colonial-era Public Gambling Act of 1867, which distinguishes between 'games of skill' and 'games of chance'. The former—like rummy or fantasy cricket—are legal, while the latter, such as roulette or slot apps, fall in the ambit of gambling and are generally banned. In a 1957 ruling (State of Bombay vs R.M.D. Chamarbaugwala), the Supreme Court reinforced this principle, saying that only games where success is predominantly determined by skill can avoid being classified as gambling. That preponderance test continues to shape legal interpretations even today.

But, in the online space, this divide has grown fuzzy. Platforms often promote themselves as skill-based to dodge regulation. Experts argue that even games requiring some level of skill can be manipulated with mechanisms like flashy visuals, near-misses and random rewards—known to trigger dopamine rushes akin to gambling.



"People getting addicted to real money games are often driven by their financial or psychological needs. They believe they can reverse their fortunes, and keep investing despite mounting losses"

DR MANOJ KUMAR SHARMA
Professor of Clinical Psychology, NIMHANS, Bengaluru

"Hope is a powerful thing," says Surya Pratap, a sentiment echoed by mental health professionals. Dr Manoj Kumar Sharma, a professor of clinical psychology at the National Institute of Mental Health and Neurosciences (NIMHANS), Bengaluru, and coordinator of the SHUT (Service for Healthy Use of Technology) Clinic, says that many users initially engage with RMG platforms out of curiosity, but gradually slip into what is called the 'gambler's fallacy', or the hope that a win will follow a losing streak. "People getting addicted are often driven by their financial or psychological needs, after seeing someone else win," he says. "They believe they can reverse their fortunes, and keep investing more despite mounting losses."

The SHUT Clinic saw few such cases till 2017, says Dr Sharma. Now, at least one patient a month reports addiction to online gambling or high-risk trading. Advertisements glamorising "big wins"—often with celebrity endorsements—only reel the victims in deeper. "Such endorsements build a false sense of trust," explains Dr Sharma. A 2022 study by the global consultancy KPMG supports this view, revealing that 40 per cent of young adults in India, aged 18-25, were influenced by such promotional content, with many coming to perceive online gambling as a safe, even lucrative, activity.

The External Threat

A 2023 report by the Parliamentary Standing Committee on Finance warned that lax oversight is turning gaming portals into pipelines for terror financing, after the National Investigation Agency (NIA) traced laundered funds to extremist groups. Watchdog platforms such as the Global Internet Forum to Counter Terrorism also warn that extremist groups are using in-game chats and forums to recruit and radicalise vulnerable users.

A report by India's Financial Intelligence Unit (FIU) in 2022 pegged money flow through gaming platforms at Rs 2,000 crore, much of it untaxed and untraceable. Many illegal betting platforms also allow users to place bets using cash, bypassing the digital record entirely, according to a 2024 report by the Security and Scientific Technical Research Association (SASTRA) of Rashtriya Raksha University, Gandhinagar. In one high-profile case in 2022, the Enforcement Directorate